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CONSENT AGREEMENT

The Arizona Department of Health Services (the "Department") and Cannabis Research Group, Inc. ("CRG") agree as follows:

Jurisdiction

The Department is charged by statute with the authority to protect the health of the people of Arizona and to issue or direct the issuance of licenses and permits required by law. A.R.S. § 36-132(A)(1) & (18). Under A.R.S. § 36-136(G), the Director of the Department is authorized to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Arizona Medical Marijuana Act, A.R.S. §§ 36-2801 through -2822 ("AMMA") authorizes the Department to license and regulate medical marijuana dispensaries that acquire, cultivate, manufacture, transport, and sell marijuana and marijuana products. A.R.S. §§ 36-2801(12), -2803(A)(4), -2804, -2806. AMMA also authorizes the Department to adopt rules related to the licensing and regulation of medical marijuana dispensaries. A.R.S. § 36-2803. The Department's rules to implement AMMA are codified in A.A.C. §§ R9-17-101 through -411 (the "Rules"), and the Rules related to the licensing and regulation of medical marijuana dispensaries are set forth in A.A.C. §§ R9-17-301 through -324.

Medical marijuana dispensaries "are subject to reasonable inspection by the [D]epartment," and the Department may inspect a medical marijuana dispensary "at any time during regular hours of operation as necessary to determine whether the dispensary complies with this chapter and the rules adopted pursuant to this chapter." A.R.S. § 36-2806(H); *see also* A.A.C. § R9-17-309.

If the Department determines during an inspection that the medical marijuana dispensary is not in compliance with AMMA or the Rules, the Department will issue a statement of deficiencies and, where appropriate, an opportunity for remediation and corrective action. A.R.S. § 41-1009; A.A.C. § R9-17-309(E). The Department also may take enforcement action, including revoking or suspending the medical marijuana dispensary's registration certificate or assessing civil monetary penalties. A.R.S. §§ 36-2815(B), -2816(F), (G); A.A.C. § R9-17-322.

Recitals

A. CRG is registered as a medical marijuana dispensary under AMMA pursuant to Certificate No. 00000055DCDA00381095.

B. CRG received approval to operate an off-site cultivation location at 600 S. 80th Ave., Tolleson, Arizona 85353 (the "Cultivation Location").

C. On August 12, 2022, the Department conducted an annual compliance inspection of the Cultivation Location. The Department also conducted an inspection based on a complaint about the Cultivation Location.

D. The Department issued a statement of deficiencies related to the compliance inspection (Inspection No. INSP-0013750) and a statement of deficiencies related to the complaint

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inspection (Inspection No. INSP-0013751) (collectively, the "SODs"). The SODs provided notice and a description of the Department's findings of alleged deficiencies and violations of AMMA and the Rules observed during, or in connection with, the inspections.

E. On January 4, 2023, the Department issued a Notice of Intent to Revoke Dispensary Registration Certificate and Notice of Right to Request Administrative Hearing (the "Notice of Intent to Revoke"). The Department gave notice of its intent and reasons for revoking CRG's dispensary registration certificate based on the Department's findings of deficiencies and violations observed during, or in connection with, the inspections and as documented in the SODs.

F. CRG requested an administrative hearing regarding the Notice of Intent to Revoke, and a hearing is scheduled before the Arizona Office of Administrative Hearings under Case No. 2023C-MMR-0211-DHS (the "Hearing").

G. The Department and CRG (collectively, the "Parties") participated in an informal settlement conference on March 30, 2023 and continued settlement discussions thereafter. The parties reached a settlement and enter into this Consent Agreement ("Agreement"), effective as of the date of the final signature below (the "Effective Date"), to resolve their disputes arising out of the SODs and the Notice of Intent to Revoke and to set forth the terms and conditions of their settlement and resolution of various matters arising out of the Department's regulation of CRG as a medical marijuana dispensary under AMMA and the Rules.

Agreement

NOW THEREFORE, in consideration of the foregoing, and the terms, covenants, and conditions set forth herein, and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the Parties agree as follows:

1. The Parties acknowledge and agree that the Recitals set forth above are material terms and conditions of this Agreement. However, by executing this Agreement, CRG does not admit the truth of any factual findings or conclusions alleged by the Department in the SODs or the Notice of Intent to Revoke.

2. CRG acknowledges the jurisdiction of the Department and its Director under AMMA and the Rules and in connection with the medical marijuana dispensary licensing matters concerned herein.

3. CRG hereby waives all rights to an administrative hearing or judicial review of any matter arising out of or relating to the SODs or the Notice of Intent to Revoke. CRG authorizes counsel for the Department to file a notice of settlement and motion to vacate the Hearing.

4. The Parties enter into this Agreement without trial or adjudication of any issue of fact or law and without admission or finding of any violations of any law. This Agreement is not, and shall not be construed as, an admission by CRG of any liability or wrongdoing.

5. CRG shall at all times remain in compliance with AMMA and the Rules.

6. CRG will pay to the Department the sum of $47,500.00 (the "Settlement Amount")

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in settlement of the Notice of Intent to Revoke, and the Department agrees to accept this amount in settlement of the Notice of Intent to Revoke. CRG shall pay the Settlement Amount within thirty (30) calendar days of the Effective Date. CRG will be in default under this Agreement if it fails to timely make the settlement payment, and in such event the Department may elect to take further enforcement action against CRG, including reinstating the Notice of Intent to Revoke.

7. Within sixty (60) calendar days of the Effective Date, CRG will participate in training and assistance programs offered by the Department regarding the topics of security, inventory control, and cleaning and sanitation (the "Training & Assistance Programs"). CRG will be in default under this Agreement if it fails to participate in the Training & Assistance Programs within sixty (60) calendar days of the Effective Date, and in such event the Department may elect to take further enforcement action against CRG, including reinstating the Notice of Intent to Revoke.

8. CRG has submitted to the Department an initial plan of correction to specify actions taken to correct the deficiencies and violations identified in the SODs. Within thirty (30) calendar days of the Effective Date, CRG will submit to the Department an updated and cumulative plan of correction to address CRG's implementation of the original plan of correction and any additional actions taken to address and remediate the issues identified in the SODs and to prevent them from reoccurring. CRG will implement and remain in compliance with the updated and cumulative plan of correction, and any supplement thereto, as approved by the Department. CRG will be in default under this Agreement if it fails to implement and comply with the updated and cumulative plan of correction, as approved by the Department, and in such event the Department may elect to take further enforcement action against CRG, including reinstating the Notice of Intent to Revoke.

9. If CRG complies with its obligations under this Agreement by paying the Settlement Amount, attending the Training & Assistance Programs, and implementing and complying with the updated and cumulative plan of correction, and any supplement thereto, the Department's findings of deficiencies and violations alleged in the SODs, the Notice of Intent to Revoke, and all evidence gathered or received in connection therewith (the "Prior Evidence") shall not be used as independent bases for any future enforcement action by the Department against CRG. However, the Prior Evidence may be considered and used if the Department determines in its reasonable and good faith discretion that the Prior Evidence represents or is evidence of a pattern of non-compliance or ongoing, systemic, or institutional deficiencies when considered in connection with any new deficiencies or violations identified during the Department's licensing and regulation of CRG's dispensary registration certificate. CRG reserves and maintains the right to contest any such actions and to contest any factual findings and conclusions alleged by the Department.

10. In any case, the Department may only use the Prior Evidence, including use of the Prior Evidence to show a repeat deficiency or violation, in any enforcement action commenced within two (2) years of the Effective Date.

11. This Agreement is between the Department and CRG. There are no third-party beneficiaries to this Agreement. Nothing in this Agreement precludes the Department from taking any enforcement action against any other person or entity or precludes other agencies or the State of Arizona from instituting other proceedings as may be appropriate in the future.

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12. Nothing in this Agreement shall require or be construed as requiring the Department to (a) take any action except for compliance in good faith with the terms of this Agreement, or (b) refrain from taking any action with respect to which it has the discretion to act or not act, as the case may be, under this Agreement, AMMA, or the Rules.

13. The Parties acknowledge and agree that a mutual and fair exchange of consideration has been made in connection with this Agreement.

14. This Agreement may be modified only in a written document signed by both Parties. No waiver of any requirement herein is effective unless made in writing. A waiver of any requirement herein shall not be deemed a waiver of any other provision.

15. This Agreement shall be governed by and construed and enforced under the laws of the State of Arizona.

16. This Agreement is subject to the approval of the Department's Assistant Director of Public Health Licensing and Policy and Intragovernmental Affairs ("Assistant Director") and is effective only upon the Assistant Director's approval. In the event the Assistant Director does not approve this Agreement, it shall be deemed withdrawn, have no evidentiary value, and may not be relied upon or introduced as evidence by either of the Parties in any action or other proceeding.

17. CRG and the person signing this Agreement on its behalf (the "Authorized Signatory") represent and warrant that (a) the Authorized Signatory is CRG's Principal Officer pursuant to A.A.C. § R9-17-301, (b) the Authorized Signatory is fully authorized to make and execute this Agreement on CRG's behalf, and (c) no further approvals are required from any persons or entities to bind CRG to this Agreement.

18. If for any reason any portion of this Agreement is adjudicated invalid or unenforceable by any court of competent jurisdiction, the court, in its discretion, may determine the extent of the invalidity or unenforceability of the provision as it relates to this Agreement. The remaining unaffected provisions of this Agreement will be valid, fully enforceable, and in effect. If the invalid or unenforceable provision materially alters the purpose and intent of this Agreement, any court of competent jurisdiction shall have the power to reform this Agreement to manifest the intent and purpose of the parties to this Agreement.

19. This Agreement may be executed and delivered electronically in counterparts that shall together constitute one original Agreement.

[Signatures on next page]

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WHEREFORE, the Department and CRG enter into this Agreement effective as of the date of the final signature below.

DATED: May 26, 2023

Jigar Patel
Principal Officer & Authorized Signatory
Cannabis Research Group, Inc.

DATED: May 26, 2023

Megan Whitby
Deputy Assistant Director
Public Health Licensing
Arizona Department of Health Services

DATED: May 30, 2023

Thomas Salow
Assistant Director
Public Health Licensing and Policy and Intragovernmental Affairs
Arizona Department of Health Services